

UKRAINE

Table 1 **2019**

Population, million	44.3
GDP, current US\$ billion	139.1
GDP per capita, current US\$	3140
International poverty rate (\$ 19) ^a	0.0
Lower middle-income poverty rate (\$3.2) ^a	0.4
Upper middle-income poverty rate (\$5.5) ^a	4.0
Gini index ^a	26.1
Life expectancy at birth, years ^b	71.8

Source: WDI, Macro Poverty Outlook, and official data.
Notes:

(a) Most recent value (2018), 2011 PPPs.

(b) Most recent WDI value (2017).

The COVID-19 pandemic is forcing a sudden slowdown in economic activity. The response in Ukraine will require public health interventions, social assistance for vulnerable households, and reforms to mobilize adequate international financing and support growth once the virus subsides. A contraction of 3.5 percent in 2020 is projected under the scenario where the virus subsides in the second half of the year, but uncertainty is high. Weakening reform appetite and the imprudent use of limited fiscal space are key domestic policy risks.

Recent developments

Economic growth was solid at 3.2 percent in 2019, led by a good agricultural harvest, and sectors dependent on domestic consumption. Household consumption grew by 11.9 percent in 2019, supported by sizable remittance inflows and a resumption of consumer lending, while domestic trade and agriculture grew by 3.4 and 1.3 percent, respectively. However, manufacturing and investment growth remained weak. Manufacturing contracted by 0.3 percent in 2019-Q1-Q3 (vs 0.6 percent growth in 2018), while fixed investment growth slowed to 12.8 percent (vs 14.3 percent in 2018). The economy lost momentum in Q4-2019, with estimated growth of 1.5 percent yoy, and the decline in steel prices contributing to a 5.1 percent (yoy) contraction in industrial production. Fixed investment, at 18 percent of GDP, has been too low for sustained economic growth. The key barriers have been (i) low foreign direct investment (2.1 percent of GDP); (ii) high interest rates and slow progress in resolving non-performing loans that has weighed on lending to private firms; and (iii) market distortions from the absence of an agricultural land market, and anticompetitive environment, and large numbers of SOEs.

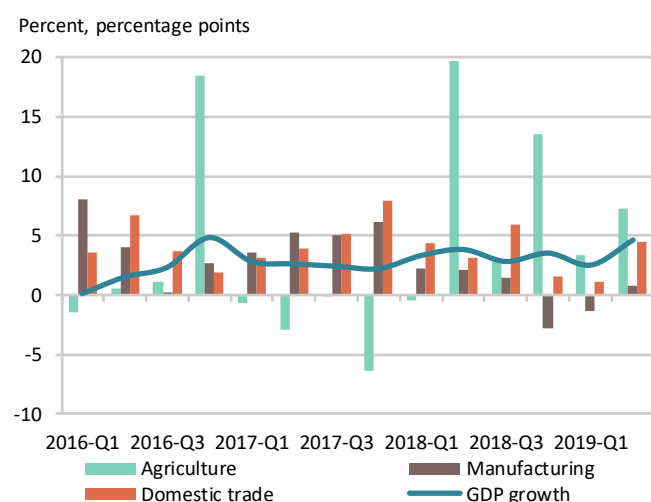
Fiscal restraint helped contain the fiscal deficit at 2.1 percent of GDP in 2019 (the fourth year in a row). This, together with currency appreciation, helped lower public debt to 50 percent of GDP in 2019 from 81 percent in 2018. A more prudent

increase in the minimum wage (12 percent in 2019 vs. cumulative 216 percent in 2017-2018) helped ease pressures on the wage bill. Spending on social benefits remained stable, but substantial at 15.3 percent of GDP in 2019. On the revenue side, lower receipts from VAT on imports and other trade taxes were offset by an increase in other revenues owing to solid growth in the broader economy.

Prudent macroeconomic management helped reduce inflation and interest rates in 2019. Inflation eased to 4.1 at end-2019 and 2.4 percent in February 2020. In turn, the NBU was able to reduce its key rate by 800 bps since September 2018 to 10 percent in March 2020, with forward guidance on further reductions in 2020.

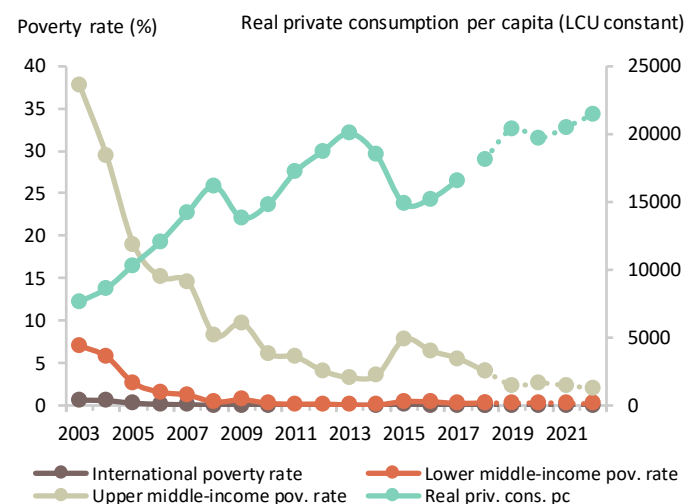
Significant capital inflows and strong remittances in 2019 helped build international reserves and cover a merchandise trade deficit of 9 percent of GDP. Remittances grew by 12.2 percent YoY to 9 percent of GDP and together with a services trade surplus helped fully cover the merchandise trade deficit. The current account deficit narrowed to 0.7 percent of GDP due to the \$2.3bn one-off Naftogaz proceeds from Stockholm Arbitration. Inflows into local government bonds amounted to \$4.5 billion (3.2 percent of GDP) in 2019 and helped international reserves reach \$25.3 billion (3.8 months of imports) by end year. Real wages increased in 2019 by 10 percent. The unemployment rate decreased to 8.6 percent in 2019-Q1-Q3/2019 from 9.1 percent a year ago. As a result, moderate poverty (World Bank's national methodology for Ukraine) declined from a peak of 26.9 percent during the crisis of 2015 to

FIGURE 1 Ukraine / GDP growth by sectors



Sources: UKRSTAT, World Bank.

FIGURE 2 Ukraine / Actual and projected poverty rates and real private consumption per capita



Source: World Bank.

Notes: see table 2.

19.9 percent in 2018 and an estimated 17.8 percent in 2019 but remained above the pre-crisis level of 14.1 percent in 2013.

Outlook

The COVID-19 crisis is expected to impact economic activity in Ukraine through several channels in 2020. First, disposable incomes and consumption will suffer from the sudden necessary restrictions, including the closure of restaurants, cafes, shopping/entertainment centers and the halt to air, rail, bus passenger transport. Second, lower remittances due to weaker economic activity in Poland and other EU countries will also adversely impact household consumption. Third, lower commodity prices will impact Ukraine's exports. The overall impact on economic activity in 2020 will depend on the duration of the public health crisis. A more protracted health crisis would lead to second order effects through more widespread layoffs, business closures, and weaker liquidity and asset quality in banks. A key factor will be the ability of the economy to rebound once the health crisis subsides. This will require swift progress on key pending reforms, as well as prudent

macroeconomic policy. This would address key investment bottlenecks and provide an important signal on the new government's reform orientation. Under the scenario where the health crisis subsides by the second half of the year, and progress is made on key pending reforms, the economy is projected to contract by 3.5 percent in 2020.

Prudent macroeconomic policy will need to be an important pillar of the policy response. This will require prioritizing spending within limited fiscal space. Fiscal space for a major stimulus is constrained by sizable debt repayments of about 6 percent of GDP per year due in 2020-2022. Revenues are expected to decline significantly, which means that the authorities will need to prioritize spending to create space for critical health and social assistance needs and identify additional financing. Additional health spending will need to be consistent with the direction of the broader health reform. Additional social assistance can be provided by scaling up the targeted Guaranteed Minimum Income (GMI) program. The authorities have also announced that citizens who receive a pension of less than 5,000 hryvnias will receive a supplement of 1,000 hryvnias. Going forward, it will be important to fix the date for pension indexation each year. Containing current

expenditure pressures will also be important in containing inflation and enabling a further reduction of interest rates going forward. The fiscal deficit is projected at 5 percent of GDP in 2020, but prolonged disruption in international capital markets would impact the ability to meet financing needs.

As exports, remittances, and capital inflows decline, safeguarding external sustainability will require a flexible exchange rate and external adjustment.

Risks and challenges

The growth and poverty outlook following the health crisis hinges on sustaining reforms needed to support investment and diversify exports. Specifically, this will require attracting private investment into tradable sectors by developing a market for agricultural land, tackling corruption, and strengthening competition; reviving lending to the private sector by continuing the reform of state-owned banks; and safeguarding macroeconomic stability. Under these conditions, growth is projected to rebound to 4 percent in the medium term and poverty is projected to decline after rising in 2020 as a result of the economic contraction.

TABLE 2 Ukraine / Macro poverty outlook baseline scenario

(annual percent change unless indicated otherwise)

	2017	2018	2019 e	2020 f	2021 f	2022 f
Real GDP growth, at constant market prices	2.5	3.3	3.2	-3.5	3.0	4.0
Private Consumption	8.4	8.9	11.9	-4.0	3.5	4.0
Government Consumption	3.3	0.1	-5.0	6.0	0.0	0.0
Gross Fixed Capital Investment	18.4	14.3	14.2	3.7	12.9	12.8
Exports, Goods and Services	3.6	-1.6	6.7	-2.0	1.8	2.5
Imports, Goods and Services	12.8	3.2	6.3	1.5	6.8	6.5
Real GDP growth, at constant factor prices	2.6	3.3	3.2	-3.5	3.0	4.0
Agriculture	-2.5	7.8	1.3	1.0	3.5	5.0
Industry	2.1	2.0	-2.0	0.0	2.0	4.0
Services	3.7	3.0	5.4	-5.4	3.3	3.8
Inflation (Consumer Price Index)	13.7	9.8	4.1	8.9	5.0	5.0
Current Account Balance (% of GDP)	-2.1	-3.2	-0.7	-2.7	-3.7	-4.0
Net Foreign Direct Investment (% of GDP)	2.1	1.9	2.1	2.1	2.4	2.6
Fiscal Balance (% of GDP)	-2.3	-2.0	-2.1	-4.9	-2.1	-2.0
Debt (% of GDP)	72.3	61.8	51.0	59.0	55.4	50.7
Primary Balance (% of GDP)	1.5	1.4	1.0	-1.3	2.5	2.2
International poverty rate (\$1.9 in 2011 PPP)^{a,b}	0.0	0.0	0.0	0.0	0.0	0.0
Lower middle-income poverty rate (\$3.2 in 2011 PPP)^{a,b}	0.3	0.4	0.3	0.4	0.3	0.2
Upper middle-income poverty rate (\$5.5 in 2011 PPP)^{a,b}	5.6	4.0	2.4	2.7	2.4	2.1

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices.

Notes: e = estimate, f = forecast.

(a) Calculations based on ECAPOV harmonization, using 2018-HLCS. Actual data: 2018. Nowcast: 2019. Forecast are from 2020 to 2022.

(b) Projection using neutral distribution (2018) with pass-through = 0.87 based on private consumption per capita in constant LCU.